

The Higher they Go, the Harder they Fall

As the enduring antidote to this kind of bull-market baloney, Graham urges the intelligent investor to ask some simple, skeptical questions. Why should the future returns of stocks always be the same as their past returns? When every investor comes to believe that stocks are guaranteed to make money in the long run, won't the market end up being wildly overpriced? And once that happens, how can future returns possibly be high?

Graham's answers, as always, are rooted in logic and common sense. The value of any investment is, and always must be, a function of the price you pay for it. By the late 1990s, inflation was withering away, corporate profits appeared to be booming, and most of the world was at peace. But that did not mean—nor could it ever mean—that stocks were worth buying *at any price*. Since the profits that companies can earn are finite, the price that investors should be willing to pay for stocks must also be finite.

Think of it this way: Michael Jordan may well have been the greatest basketball player of all time, and he pulled fans into Chicago Stadium like a giant electromagnet. The Chicago Bulls got a bargain by paying Jordan up to \$34 million a year to bounce a big leather ball around a wooden floor. But that does not mean the Bulls would have been justified paying him \$340 million, or \$3.4 billion, or \$34 billion, per season.

The Limits of Optimism

Focusing on the market's recent returns when they have been rosy, warns Graham, will lead to "a quite illogical and dangerous conclusion that equally marvelous results could be expected for common stocks in the future." From 1995 through 1999, as the market rose by at least 20% each year—a surge unprecedented in American history—stock buyers became ever more optimistic:

- In mid-1998, investors surveyed by the Gallup Organization for the PaineWebber brokerage firm expected their portfolios to earn an